# Third Country Branches

Source: https://www.prarulebook.co.uk/pra-rules/third-country-branches/03-03-2026
Effective Date: 03-03-2026
Type: PRA Rule
Scraped: 2026-03-02 20:51

1

## Application and Definitions

1.1

Unless otherwise stated, this Part applies to _third country branch undertakings_ , except _Swiss general insurers_.

1.2

In this Part, the following definitions shall apply:

_branch scheme of operations_

means a scheme containing the information required in 5.1.

_composite third country branch_

means a _third country branch_ (except a _third country pure reinsurance branch_) that carries on both _long-term insurance business_ and _general insurance business_ in the _UK_.

2

## Accounting Records in the UK

2.1

A _third country branch undertaking_ must maintain at a place of business in the _UK_ all records relating to:

1. (1) the activities carried on from its _third country branch._
2. (2) [deleted.]

[Note: Art. 162 (2) of the _Solvency II Directive_]

3

## Localisation and Deposit of Assets

3.1

[Deleted]

3.2

[Deleted.]

3.3

A _third country branch undertaking_ (except a _third country branch undertaking_ that has a _third country pure reinsurance branch_) must hold on deposit as security in the _UK_ with a _CRD credit institution_ assets of an amount equal to at least:

1. (1) £600,000 for a third country insurance branch whose insurance business is limited to general insurance business, except in the case where all or some of the general insurance business classes 10 to 15 are covered, in which case the amount must be at least £875,000;
2. (2)  £875,000 for a third country insurance branch whose insurance business is limited to long-term insurance business; or
3. (3)  the sum of the amounts set out in (1) and (2) for a third country insurance branch that is a composite third country branch.

4

## Solvency Capital Requirement and Minimum Capital Requirement [Deleted]

4.1

[Deleted]

4.2

[Deleted]

4.3

[Deleted]

4.4

[Deleted.]

4.5

[Deleted.]

4.6

[Deleted.]

5

## Contents of the Branch Scheme of Operations

5.1

The _branch scheme of operations_ must set out the following:

1. (1) the nature of the risks or commitments which the _third country branch undertaking_ proposes to cover;
2. (2) the guiding principles as to _reinsurance_ ;
3. (3) [deleted]
4. (4) [deleted]

5. (5) [deleted]

6. (6) estimates of the cost of setting up the administrative services and the organisation for securing business, the financial resources to meet those costs and, where the risks to be covered are classified under paragraph 18 of Part 1 of Schedule 1 to the _Regulated Activities Order_ , the resources available for the provision of assistance;

7. (7) information on the structure of the system of governance; and

8. (8) for the first three financial years:

1. (a) a forecast balance sheet;

2. (b) estimates of the financial resources intended to cover the provisions referred to in 6.1;

3. (c) for _general insurance business_ :

1. (i) estimates of management expenses other than installation costs, in particular current general expenses and commissions;

2. (ii) estimates of _premiums_ or contributions and claims under any _contract of insurance_ ; and

4. (d) for _long-term insurance business_ :

5. a plan setting out detailed estimates of income and expenditure in respect of direct business, _reinsurance_ acceptances and _reinsurance_ cessions.

6

## Provisions for Insurance and Reinsurance Obligations

6.1

A _third country branch undertaking_ must establish adequate provisions to cover the insurance and reinsurance obligations assumed by the third country branch undertaking in the UK, calculated in accordance with 6.1A to 6.1E.

6.1A

A third country branch undertaking must calculate the provisions referred to in 6.1:

1. (1) such that the calculation makes use of and is consistent with information provided by the financial markets and generally available data on underwriting risks (market consistency);

2. (2) in a prudent, reliable and objective manner;

3. (3) taking into account the principles set out in Valuation 2 and 3; and

4. (4) subject to 6.1B, in accordance with:

1. (a) 6.1C to 6.1F;

2. (b) Technical Provisions 9 to 12;

3. (c) Technical Provisions 14;

4. (d) Technical Provisions ? Further Requirements 2 to 5;

5. (e) Technical Provisions ? Further Requirements 10 to 12;

6. (f) Technical Provisions ? Further Requirements 23 and 24; and

7. (g) Technical Provisions ? Further Requirements 26 and 27

8. where a reference to ?technical provisions? is to be interpreted as the provisions referred to in 6.1.

6.1B

In Technical Provisions ? Further Requirements 2.1, the reference to ?and the risk margin? is to be disregarded.

6.1C

The insurance and reinsurance obligations referred to in 6.1 must be calculated using the branch best estimate unless

6.1E applies, in which case they must be calculated in accordance with 6.1E.

6.1D

The branch best estimate must be calculated in accordance with:

1. (1) Technical Provisions 3;
2. (2) Technical Provisions 5 and 8;
3. (3) the Matching Adjustment Part;
4. (4) Technical Provisions ? Further Requirements 6 to 9 (other than 7.2);
5. (5) Technical Provisions ? Further Requirements 13 to 21; and
6. (6) Technical Provisions ? Further Requirements 25,

where a reference to ?best estimate? is to be interpreted as branch best estimate and a reference to ?technical provisions? is to be interpreted as the provisions referred to in 6.1.

6.1E

Where:

1. (1) future cash-flows associated with insurance or reinsurance obligations can be replicated reliably;
2. (2) that replication is provided using financial instruments; and
3. (3) those financial instruments have a reliable market value which is observable,

then the value of those future cash-flows must be determined on the basis of the market value of those financial instruments, and calculated in accordance with Technical Provisions ? Further Requirements 22, where references to ?Technical Provisions 2.5(2)(a)? is to be interpreted as a reference to ?6.1E of the Third Country Branches Part? and references to ?technical provisions? are to be interpreted as the provisions referred to in 6.1.

6.1F

1. (1) A third country branch undertaking must ensure that the branch best estimate, and the assumptions underlying the calculation of the branch best estimate, are regularly compared against experience.
2. (2) Where the comparison in (1) identifies that a systematic deviation exists between the branch best estimate calculations and experience, the third country branch undertaking must make appropriate adjustments to the actuarial methods being used and/or the assumptions being made to ensure that the branch best estimate is calculated in accordance with 6.1A to 6.1D.

6.2

[Deleted.]

6.3

A _third country branch undertaking_ must value assets and liabilities (other than the insurance and reinsurance obligations referred to in 6.1) in accordance with the Valuation Part where, except for Valuation 9.4(2)(a), a reference to ?technical provisions? is to be interpreted as the provisions referred to in 6.1, a reference to the ?Technical Provisions Part? is to be interpreted as a reference to ?Third Country Branches 6? and a reference to the ?Solvency Capital Requirement ? General Provisions Part? can be disregarded.

6.4

[Deleted]

6.5

[Deleted]

[Note: Art. 165 of the _Solvency II Directive_]

7

## Conditions Governing Business

7.1

A _third country branch undertaking_ must fulfil the following requirements in the Conditions Governing Business Part, as modified by 7.2 to 7.12:

1. (1) Conditions Governing Business 1;
2. (1A) Conditions Governing Business 1A;
3. (2) Conditions Governing Business 2.2 to 2.6 (other than 2.2(3)(e));
4. (2A) Conditions Governing Business 2A (other than 2A.4);
5. (3) Conditions Governing Business 3 (other than 3.1(2)(b), 3.1A(8), 3.3, 3.5(3)(a), 3.5(3)(b), 3.8(2)(b)(i), 3.8(2)(c), 3.8(4), 3.8(5), 3.12(3) and 3.12(4));
6. (3A) Conditions Governing Business 3A;
7. (4)  Conditions Governing Business 4 to 7; and
8. (5) Conditions Governing Business 11A, 11B, 11C, 11D, 11E and 11F.

7.2

1. (1) [Deleted]
2. (2) [Deleted]
3. (3) A reference to ? _technical provisions?_ is to be interpreted as a reference to:
1. (a) [deleted]
2. (b) [deleted]
3. (c) the provisions referred to in 6.1 of this Part.
4. (4) A reference to ? _function_ _?_ is to be interpreted as a reference to the _functions_ performed in relation to the operations effected by the _third country branch_ and includes the _function_ of _authorised UK representative_.
5. (5) [Deleted]
6. (6) A reference to ?best estimate? is to be interpreted as ?branch best estimate?.
7. (7) A reference to ?the Technical Provisions Part? should be read as a reference to 6.1 of this Part.
8. (8) A reference to ?the Investments Part? should be read as a reference to 8.3 of this Part.
9. (9) A reference to ?the Valuation Part? should be read as a reference to 6.3 of this Part.

7.3

A _third country branch undertaking_ must apply the requirements referred to in 7.1 taking account only of matters relevant to the operations effected by the _third country branch_.

7.4

[Deleted]

7.5

1. (1) In Conditions Governing Business 1.2, the reference to ?UK Solvency II firm? in the definition of ?concentration risk? is to be interpreted as ?third country branch undertaking?.

2. (2) In Conditions Governing Business 1A.1 references to the following defined terms are to be disregarded:

1. (a) ?own funds?;

2. (b) ?SCR?; and

3. (c) ?MCR?.

3. (3) In Conditions Governing Business 3.2, references to ?and eligible own funds? are to be disregarded.

4. (4) In Conditions Governing Business 3.5(2)(c) reference to ?the firm as a whole? should be read as ?the third country branch?.

5. (5) In Conditions Governing Business 3.6, 3.6A and 3.6B to 3.6F references to the SCR are to be disregarded.

6. (6) In Conditions Governing Business 3.8A(1)(b) a reference to ?own funds item? is to be interpreted as a reference to the provisions referred to in 6.1 of this Part.

7. (7) In Conditions Governing Business 6.1(1)(i), reference to ?the risk modelling underlying the calculation of the SCR and MCR? is to be disregarded.

7.6

In Conditions Governing Business 2.2(3)(b), the reference to Conditions Governing Business 3 to 7 is to be interpreted with reference to 7.1(3) and the modifications set out in 7.2 and 7.5.

7.7

A firm must submit the assessments referred to in Conditions Governing Business 3.2 (as modified by 7.2 to 7.6) as part of the information reported annually in accordance with Reporting 2.

7.8

In Conditions Governing Business 4.2(1) ?to the extent that these apply to third country branches in accordance with the Third Country Branches Part? should be added after ?deriving from FSMA that apply to UK Solvency II firms?.

7.9

In Conditions Governing Business 7.1 ?to the extent that these apply to third country branches in accordance with the Third Country Branches Part? should be added after ?deriving from FSMA that apply to UK Solvency II firms?.

7.10

In Conditions Governing Business 11B.1(1) reference to Technical Provisions 13 should be interpreted as a reference to 6.1F of this Part.

7.11

In Conditions Governing Business 11B.1(2)(g) the references to Chapter 14 and rules 2.1 to 2.3 of the Technical Provisions Part should be interpreted as references to 6.1 of this Part.

7.12

In Conditions Governing Business 11B.1(2)(a) to (e), 11C.2(2) and 11C.3(8) the references to Technical Provisions - Further Requirements should be interpreted in accordance with Chapter 6 of this Part.

8

## Investments

8.1

A _third country branch undertaking_ must fulfil the requirements laid down in the Investments Part of the _PRA_ Rulebook, as modified by 8.2 and 8.3.

8.2

A reference to ? _technical provisions_ ? is to be interpreted as laid down in 7.2(3).

8.3

A _third country branch undertaking_ must fulfil the requirements in the Investments Part of the _PRA_ Rulebook taking account only of the operations effected by the _third country branch_.

8.4

[Deleted.]

9

## Reporting

9.1

A _third country branch undertaking_ must fulfil the applicable requirements laid down in the Reporting Part.

9.2

[Deleted]

9.3

[Deleted.]

10

## Third Country Branch Undertakings in Difficulty

10.1

A _third country branch undertaking_ must fulfil the requirements laid down in Undertakings in Difficulty 2.

10.2

[Deleted]

11

## Separation of Long-Term Business and General Business

11.1

1. (1) A _third country insurance undertaking_ that has a _composite third country branch_ must fulfil the requirements laid down in Composites 2 and 3, as modified by 11.2.
2. (2) [deleted.]

11.2

1. (1) The requirements referred to in 11.1 must be fulfilled taking account only of the operations effected by the _third country branch_.
2. (2) [Deleted]
3. (3) [Deleted]
4. (4) The reference to ?technical provisions? in Composites 3.3 is to be interpreted as a reference to the provisions in 6.1.

12

## Restriction of Business

12.1

A _third country branch undertaking_ except a _pure reinsurer_ must not carry on any commercial business other than _insurance business_ and activities directly arising from that business.

12.2

A _third country branch undertaking_ that is a _pure reinsurer_ must not carry on any business other than the business of _reinsurance_ and related operations.

13

## Worldwide Financial Resources

13.1

A _third country branch undertaking_ must maintain adequate worldwide financial resources, to ensure that there is no significant risk that its liabilities cannot be met as they fall due.

14

## Transitional Measures [Deleted]

14.1

[Deleted]

14.2

[Deleted]

15

## Solvency II Regulations [Deleted]

15.1

[Deleted]

15.2

[Deleted]